

Retail Research	IPO Note
Sector: Retail (Jewellery)	Price Band (Rs): 204 - 215
22nd September 2023	Recommendation: Subscribe for long term Horizon

Manoj Vaibhav Gems 'N' Jewellers Limited

Company Overview:

Vaibhav Jewellers, is a leading regional jewellery brand in South India led by a first generation woman entrepreneur Mrs. Bharata Mallika Ratna Kumari Grandhi along with her daughter Grandhi Sai Keerthana. The company is a hyperlocal jewellery retail chain with a presence in the micro markets of Andhra Pradesh & Telangana with 13 showrooms (inclusive of 2 franchisee showrooms) across 8 towns and 2 cities. The company has a market share of 4% of the overall Andhra Pradesh and Telangana jewellery market and 10% of the organised market in these two states in FY23. The company is one of the earlier entrants in the organised jewellery retail market of Andhra Pradesh and continues to focus on regional expansion into the high-growth untapped regions within the micro-markets of Andhra Pradesh & Telangana thereby creating a market for branded jewellery in the area of the operations.

Key Highlights:

Product Offering: The company sell a wide range of gold, silver, diamond jewellery and precious gemstones and other jewellery products with wide collection of designs to meet the needs of all types of customers on all occasions throughout the year including festivals, weddings, special days such as Akshaya Tritiya and all other festive occasions. The company also procures jewellery on an outright basis from the list of suppliers as it supplies bullion to job workers for creating varied designs of jewelleries as per the specifications.

Early mover advantage: The company has been amongst the first movers in the organised jewellery business in the state of Andhra Pradesh by starting the business as a proprietorship concern in the year 1994 from the first showroom in Visakhapatnam. The company continues to focus on regional expansion into the high-growth untapped regions within the micro-markets of Andhra Pradesh & Telangana. From a single retail showroom in 1994, the company has now a total of 13 retail showrooms spread across Andhra Pradesh and Telangana with a total of 95,892 sq.ft. and intend to open new retail showrooms in Tier 2 and Tier 3 cities of Andhra Pradesh and Telangana in FY24 and FY25.

Go To Market Model: The company uses the GTM model to connect with customers, build relationships, and ensure repeat business. It helps to differentiate from competitors, is cost-effective, and helps to boost foot traffic and customer loyalty in retail stores. GTM also gathers key market data like location demographics, nearby businesses, and site quality, allowing the company to research and understand each market that it plans to enter. This helps to target the right consumers and offer the best product mix while keeping an eye on market trends and competition.

Valuation: The company is valued at a FY23 PE multiple of 14.7x, and EV/EBITDA of 9x, at the upper price band on post-issue capital. The IPO looks attractively valued across various valuation parameters when compared with its peers. With decent return ratios and margins, the risk reward ratio for long term investors looks favourable. The investors can subscribe to the IPO for a long-term investment perspective.

Issue Details	
Date of Opening	22 nd September 23
Date of Closing	26 th September 23
Price Band (Rs)	204 – 215
Issue Size (Rs cr)	267 – 270
No. of shares	1,30,94,118 – 1,25,67,442
Face Value (Rs)	10
Post Issue Market Cap (Rs cr)	1,007 – 1,050
BRLMs	Bajaj Capital, Elara Capital
Registrar	Bigshare Services Private Limited
Bid Lot	69 shares and in multiple thereof
QIB shares	50%
Retail shares	35%
NIB (HNI) shares	15%

Objects of Issue	
	(Rs Cr.)
Gross proceeds from fresh issue*	210.0
(less) Offer expenses in relation to the Fresh Issue to be borne by our Company	-
Net Proceeds*	-

* To be finalised upon determination of the Offer Price and to be updated in the Prospectus prior to filing with the RoC.

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	3,90,80,000	100.0
Public & Others	0	0.0
Total	3,90,80,000	100.0

Post Issue @Lower Price Band	No. of Shares	%
Promoter & Promoter Group	3,62,80,000	73.5
Public & Others	1,30,94,118	26.5
Total	4,93,74,118	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	3,62,80,000	74.3
Public & Others	1,25,67,442	25.7
Total	4,88,47,442	100.0

Source: RHP, SSL Research

Risk factors

- If the company is unable to effectively manage or expand the retail network and operations or pursue a growth strategy, new showrooms may not achieve the expected levels of profitability which may adversely affect the business prospects, financial condition and results of operations.
- The non-availability or high cost of quality gold bullion, silver, diamonds and other precious and semi-precious stones may have an adverse effect on the business, results of operations and financial condition.
- The company requires significant working capital in the future. The company's ability to access capital at attractive costs also depends on the credit ratings. The company's operations could be curtailed if the company is unable to obtain the required additional capital and financing when needed.
- The company may be unable to maintain or establish arrangements with job workers and suppliers through whom it manufactures the products and procures raw materials, and may experience other disruptions or quality control risks in the operations of such parties.

Growth strategy

- Expand in the untapped sections of the micro markets of Andhra Pradesh and Telangana and develop those markets for organized jewellery sales.
- Focus on further strengthening the rural focus and improving sales from existing showrooms.
- Deepen customer relationships by enhanced focus on Go-to-Market strategy to strengthen the customer engagement.
- Focus on augmenting the Brand strength.
- Invest to enhance product portfolio by offering wider spectrum of designs and thereby improve the sales of the Premium jewellery.
- Strengthen Inventory Management practices.
- Leveraging on e-commerce platform to reach customers beyond the brick-and-mortar network.

Product-Wise Revenue Break-up

FY23		
Particulars	Revenue contribution (Rs cr)	As a % of our Revenue
Silver Jewellery/Articles	80.3	4.0%
Platinum Jewellery	1.1	0.1%
Gold Jewellery	1809.1	89.2%
Diamonds	82.3	4.1%
Stones	53.6	2.6%
Others	1.0	0.1%
Total Revenue	2027.3	100.0%
FY22		
Silver Jewellery/Articles	67.9	4.0%
Platinum Jewellery	1.0	0.1%
Gold Jewellery	1516.1	89.5%
Diamonds	65.0	3.8%
Stones	43.4	2.6%
Others	0.5	0.0%
Total Revenue	1693.9	100.0%
FY21		
Silver Jewellery/Articles	45.4	3.2%
Platinum Jewellery	0.9	0.1%
Gold Jewellery	1318.7	92.0%
Diamonds	40.8	2.9%
Stones	27.0	1.9%
Others	0.8	0.1%
Total Revenue	1433.6	100.0%

Source: RHP, SSL Research

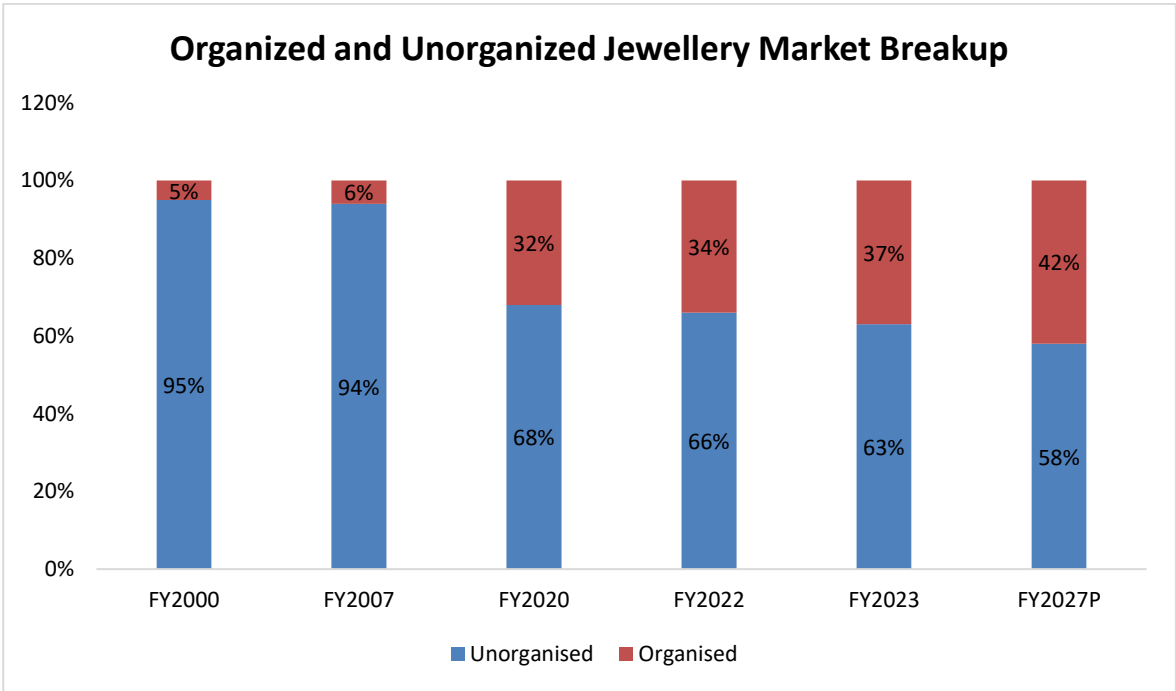
Industry Overview

Indian Domestic Jewellery Market Size



Source: RHP, SSL Research

Organized and Unorganized Jewellery Market Breakup



Source: RHP, SSL Research

Financial Snapshot

Manoj Vaibhav Gems 'N' Jewellers Ltd.			
(Rs. Cr.)	Pre-Issue	Post Issue	
	FY22	FY23	
Particulars		Price Band	
	204.0	204.0	215.0
Net Sales	1,693.9	2,027.3	2,027.3
Total Income	1,697.7	2,031.3	2,031.3
EBIDTA	105.0	143.1	143.1
PAT	43.7	71.6	71.6
Equity Share Capital	9.8	49.4	48.8
No of Equity Shares	1.0	4.9	4.9
Face Value	10.0	10.0	10.0
EPS	44.7	14.5	14.7
CMP	204.0	204.0	215.0
Cash and Bank	8.6	227.2	227.2
Debt	477.7	460.0	460.0
Market Cap	199.3	1,007.2	1,050.2
BV per share (Rs)	279.3	112.3	113.5
PE(x)	4.6	14.1	14.7
P/BV (x)	0.7	1.8	1.9
Enterprise Value	668.4	1,240.0	1,283.0
Mcap/Sales (x)	0.1	0.5	0.5
EV/Sales (x)	0.4	0.6	0.6
EV/EBIDTA (x)	6.4	8.7	9.0
EBITDA Margins (%)	6.2	7.1	7.1
Net Margins (%)	2.6	3.5	3.5
ROE (%)	17.4	17.3	17.3
ROCE (%)	13.9	15.7	15.7
Debt/Equity	1.8	0.8	0.8
Net worth	272.9	554.6	554.6

Source: RHP, SSL Research (Post Issue)

Year	FY21	FY22	FY23
Net Sales	1,433.6	1,693.9	2,027.3
EBITDA	80.8	105.0	143.1
Net Profit	20.7	43.7	71.6
EBITDA Margin (%)	5.6	6.2	7.1
Net Profit Margin (%)	1.4	2.6	3.5

Source: RHP, SSL Research

	FY21	FY22	FY23
Debtor's days	5	4	4
Inventory days	184	188	193
Creditor's days	17	22	8
Working Capital Days	172	171	190

Source: RHP, SSL Research

	FY21	FY22	FY23
Cash flow from Operating Activities	-11.5	9.0	69.2
Cash flow from Investing Activities	10.9	1.3	-3.5
Cash flow from Financing Activities	4.3	-25.6	-58.8
Free Cash Flow	-2.1	8.8	67.9

Source: RHP, SSL Research

Peer Comparison

	Manoj Vaibhav Gems 'N' Jewellers Ltd.	Titan Company Ltd.	Thangamayil Jewellery Ltd.	Kalayan Jewellers India Ltd.	Tribhovandas Bhimji Zaveri Ltd.	Senco Gold Ltd.
CMP	215.0	3,302.0	1,222.0	213.0	109.0	487.0
Sales (Rs cr)	2,027.3	40,575.0	3,153.0	14,071.0	2,394.0	4,077.0
EV (Rs cr)	1,283.0	3,01,158.0	3,846.0	25,259.0	1,258.0	4,523.0
EV/EBITDA	9.0	61.7	25.1	21.7	10.1	14.3
EBITDA (Rs cr)	143.1	4,882.0	153.0	1,165.0	124.0	317.0
Net Profit (Rs cr)	71.6	3,274.0	80.0	432.0	40.0	158.0
M.Cap (Rs Cr)	1,050.2	2,93,134.0	3,354.0	21,945.0	728.0	3,776.0
EBITDA Margin (%)	7.1	12.0	4.9	8.3	5.2	7.8
PE(x)	14.7	91.1	28.1	44.8	14.8	23.8
RoE (%)	17.3	30.8	22.4	13.5	7.4	21.8
RoCE (%)	15.7	25.1	16.8	12.7	9.3	17.2

(Source: RHP, SSL Research)

The data is based on FY23 financial data, For Manoj Vaibhav Gems 'N' Jewellers Limited the data is calculated on post-issue equity share capital.

CMP as on 21st September'23.

SBICAP Securities Limited

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